

MGT 420: NEGOTIATION

Winter 2022

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COURSE OBJECTIVES

You should develop a systematic and insightful approach to negotiation. First, you should acquire the conceptual skills necessary to become a sophisticated analyst of negotiation situations. Second, you should gain valuable experience from the negotiation exercises. In particular, you should learn a great deal about yourself from repeated exposure to negotiation situations. Third, you should gain an understanding of the psychological processes underlying the judgment of negotiators, and you should be able to use the psychological biases people have against them. The bottom-line: you should come out of this course as an analytically and intuitively savvy negotiator.

ORGANIZATION AND CONTENT

The course will build cumulatively from (seemingly) simple negotiations to those of greater complexity. Structured negotiation exercises are used to isolate and emphasize specific analytic points and essential skills. Cases and readings should help you integrate the analysis and develop intuition about related, possibly more personally relevant, situations.

Unit 1 – Value Claiming

The first part focuses on situations in which each party attempts to enlarge his or her share of what is taken to be a fixed pie. We start with an introduction to strategic thinking, and then the basic concepts and tactics, with a special emphasis on the cognitive aspects of negotiation, are introduced.

Unit 2 – Value Creation

In the classes that follow, we explore negotiations that contain elements of both cooperation and competition; that is, cases where the parties can “enlarge the pie” by creating joint gains. We identify the potential sources of gains – and why they are often not fully captured. We also analyze the tension between cooperative moves to create value and competitive moves to claim it. This tension is fundamental to negotiation and affects virtually all tactical and strategic choices.

Unit 3 – Multiple Parties

In the last classes we study multi-party negotiations and explore how the dynamics of these negotiations differ from two party settings. In particular, we examine the strategic and tactical issues that are essential to any sophisticated building (or destroying) of coalitions.

NEGOTIATION EXERCISES

You will take part in a series of negotiation exercises. For each case, you will be assigned a particular role, and you will be given background materials, instructions, and (often) confidential information to aid you in your preparation. You will be paired with one or more negotiating partners. Typically, you will spend the first part of each class negotiating these cases. The second part of each class will be spent on debriefing and analysis. The negotiation exercises are probably the single most important vehicle for learning in this course.

Our discussion will often focus on how different strategic choices (and interpersonal skills) drive relative success at the bargaining table. The cases do not involve real money or actual issues, of course, but past students have relished the opportunity to test their effectiveness and to try new techniques they learn in the course. Because everyone will be negotiating the same case, which will then be extensively discussed, you will get a chance to see something that is seldom visible when you negotiate, i.e., how well you might have done had you negotiated differently.

We will record everyone's results so you can compare the outcome that you negotiated with the results obtained by other people in your same role. These tracked results are not factored in course grades: they are meant only to give you a sense of your effectiveness in a variety of negotiation settings. You will find that you are more skillful in some situations than in others.

Whether you negotiate the "best" outcome or the "worst" will not affect your grade in the course, but your faithful and creative preparation and participation are essential, as is the quality of the insights that you draw from the negotiating experience. In addition, failure to prepare for and carry out an exercise would not only adversely affect your own learning, but would deny valuable experience for fellow students with whom you're paired. Thus, your actual presence and conscientious preparation is a primary requisite of this course.

Naturally, even when you are negotiating with someone you know and like, do not simply give in to him or her. Doing so would produce a poorer result for you and would deprive them of a legitimate test of their skills. As with a tennis match among friends, playing vigorously and intelligently does more for everyone's game, and is much more fun. (See the attached appendix for more information on the exercises).

COURSE MATERIALS

A number of articles and book chapters are assigned throughout the course.

The required book is:

- Max Bazerman and Margaret Neale, *Negotiating Rationally*, 1994

Also recommended are:

- William L. Ury, *Getting Past No*, (New York: Bantam Books, 1993).
- Richard Shell, *Bargaining for Advantage*, (Penguin Books, 1999).
- Avinash Dixit and Barry Nalebuff, *Thinking Strategically: The Competitive Edge in Business, Politics, and Everyday Life*, 1991

The assigned cases and readings should consolidate, reinforce, and extend points made in class, often by providing a different perspective than those brought out in class discussions. Note that the order of readings was chosen with considerable care: following the indicated sequence will prove useful.

HBS simulation: OPEQ. The link to the simulation will be distributed during the course.

GRADING

Your grade will be based on the following three components:

Class participation (25%)

Class participation grade will be based on how conscientiously and insightfully you carry out the assigned negotiation exercises and the quality of your contribution to class discussions. Missing a negotiation will have an adverse effect on your class participation grade.

In addition, the class participation grade will be based on the write-ups of the different case studies.

Journals (40%)

You are required to submit two type-written journal entries (no more than 600 words a piece; *please include a word count at the bottom of the last page*). The journals are a vehicle for you to synthesize on an ongoing and cumulative basis the lessons you want to retain from your experience and your analytical reflections. Journals will be graded in terms of their thoughtfulness and insight. Better journals will be more specific, deeper, more prescriptive, and generally reflective of more analytical and interpersonal sophistication.

Final Project (35%)

Instruction for the project will be given to you in class.

We will discuss a number of assigned cases in class. You are expected to prepare the assignment questions before class and be ready for discussion.

STUDENTS WITH DISABILITIES

A student who has a disability or special need and requires an accommodation in order to have equal access to the classroom must register with the Office for Students with Disabilities (OSD). The OSD will determine what accommodations may be made and provide the necessary documentation to present to the faculty member.

The student must present the OSD letter of certification and OSD accommodation recommendation to the appropriate faculty member in order to initiate the request for accommodation in classes, examinations, or other academic program activities. **No accommodations can be implemented retroactively.**

Please visit the [OSD website](#) for further information or contact the Office for Students with Disabilities at (858) 534-4382 or osd@ucsd.edu.

APPENDIX: NEGOTIATION EXERCISES

The simulations assigned in the course are central to your learning experience. Please read this note carefully to understand the purpose of these exercises and the rules under which they will be conducted. We will keep, and periodically report your scores, but these will be for your own informational purposes (regarding how you are doing in relation to others): they will not be used in computing grades.

Negotiating with classmates

Some people may feel uncomfortable negotiating with other class members. Previous students, however, have overwhelmingly found the experience rewarding, particularly the low cost opportunity to “try on” different negotiating approaches. Such experimentation is encouraged as long as it is undertaken seriously. To the extent that your wits and emotions are engaged, the experience promises to help you become a more aware and effective negotiator.

Confidential instructions

You will receive confidential instructions in many of the exercises. Do not show your instructions to others. You may choose to reveal or discuss some or all of the contents of your confidential information – indeed this kind of communication is often indispensable “at-the-table.” However, you must not physically show your actual confidential instruction sheets. This rule is intended to mirror reality: in most actual situations, you cannot simply show the full set of your underlying values and information to your negotiating counterparts.

The instructions for the exercises are designed to be self-explanatory. Please follow them carefully. For example, in cases where the set of issues is defined in the instructions, please do not invent new issues as part of a reported agreement. Otherwise scoring and comparing scores would become hopelessly complicated. Likewise, if the instructions of a multi-round exercise say that the negotiators must make their offers simultaneously and in sequence, without discussion, one round at a time, please do so. (It would violate the spirit of the exercise simply to present your counterpart with a signed list of offers for all 20 rounds, as a student once did). The class will function far more effectively if we all cooperate in observing these rules. In class discussion, of course, suggestions for more creative resolutions are welcome.

Negotiation logistics and contingencies

Role assignments and confidential information will be distributed in advance of the scheduled negotiations. The actual negotiation pairings (with whom you will negotiate) will be announced at the beginning of each session. If you absolutely cannot carry out a negotiation exercise, you must let me know as early as possible so that your counterpart(s) will not be stranded.

For most negotiations, you will need to turn in an outcome report. If you have not handed in a report by the deadline, you will be deemed not to have reached agreement and scored accordingly.